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DEC 2008
DEC 2009



Figures in per cent

crore a year ago; its revenues from operations rose 37 per cent. Jet Airways reported its first profit in three quarters—Rs 105.8 crore from a loss of Rs 214.18 crore. Jetlite also posted a profit of Rs 3.9 crore on revenues of Rs 416.4 crore against a net loss of Rs 22 crore in the corresponding period last year. Even Air India cut its operating losses by 25 per cent, from Rs 1,152.44 crore in October-December 2008 to Rs 864.33 crore in October-December 2009. Of course, they have to fly some distance yet to report profits for the whole year as almost all the airlines will be reporting losses for the full year. It will be some time before the industry can shake off the ghosts from its past just yet. Jet still has a consolidated debt of Rs 15,000 crore, while Air India is expected to incur a loss of Rs 5,000 crore. Minister for Civil Aviation Praful Patel, though, is "cautiously optimistic". "If 2010 is good, then the worst will be over for the industry," he says.

The rising revenue graph has also been a learning curve. Much of the improvement comes from better management of costs—both in tariffs and crude prices. After racking up huge losses last year, airline companies decided to do some restructuring. This included cutting back on staff, unprofitable routes and even leasing out airplanes. While SpiceJet froze salaries of its staffers, Kingfisher planned a series of initiatives, including reduction in lease costs by 25 per cent through redelivery of non-operational aircraft and cutting personnel costs by about 22 per cent by adopting measures that included replacing high-cost expats. The airline also cut capacity by 1.06 lakh seats in the second quarter and cancelled daily London-Bangalore and Bangalore-Colombo return flights mid-September onwards. Instead, it started two new routes from Mumbai to Hongkong and Singapore. GoAir replaced eight of its old aircraft to ensure fuel efficiency. Jet Airways reduced its capacity by 10 per cent and has also converted several of its aircraft from the two-class configuration to a single, economy class configuration, which amounts to more seats per aircraft.